

Meridian Capital Management — Investment Memorandum

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Field	Detail
Company	C.H. Robinson Worldwide, Inc.
Ticker	CHRW (Nasdaq)
Analyst	J. Calloway, Meridian Capital Management
Date	June 6, 2026
Recommendation	LONG — target weight 4.0% of book

Thesis

The Street trades CHRW as a cyclical freight broker whose earnings live and die with the truckload rate cycle. Our variant view is that the 2024–2025 results are early proof of a structural margin re-rate, not a cyclical bounce. The company's "dynamic pricing and costing" engine (the digital-brokerage capability running on its Navisphere/Lean AI stack) is widening **adjusted gross profit per transaction** even in a soft demand tape, and the cost line is being permanently reset lower. The evidence is in the filings, not the narrative: adjusted gross profit margin rose to **16.8% in 2025 from 15.6% in 2024 and 14.8% in 2023** ([CHRW 10-K, FY2025](<https://www.sec.gov/Archives/edgar/data/1043277/000104327726000009/chrw-20251231.htm>)), and adjusted operating margin expanded **490 bps to 29.1%** even as total revenue fell 8.4%. That margin set held up into Q1 2026 (adjusted operating margin **26.6%, +30 bps YoY**) despite a brutal cost spike ([CHRW 10-Q, Q1 2026](<https://www.sec.gov/Archives/edgar/data/1043277/000104327726000016/chrw-20260331.htm>)).

If the take-rate per shipment is durable — i.e., the pricing engine, not the cycle, is doing the work — then CHRW earns into a freight upcycle that has not yet arrived, with a permanently lower headcount base. If it is just cyclical, we are wrong. The whole long rests on that distinction, and it is testable against the per-transaction disclosures.

Business Overview

C.H. Robinson is one of the largest global logistics providers in the world, with FY2025 consolidated total revenues of **\$16.2 billion** ([10-K](<https://www.sec.gov/Archives/edgar/data/1043277/000104327726000009/chrw-20251231.htm>)). It is an asset-light, third-party logistics (3PL) model — it sources truckload, LTL, ocean, and air capacity from contracted carriers and resells it, capturing the spread (adjusted gross profit) rather than owning trucks or ships. Revenue splits into **Transportation (\$14.82B in 2025)** and **Sourcing (\$1.41B)**.

Key drivers from the filings:

- **North American Surface Transportation (NAST)** — truckload + LTL, the profit engine. Combined NAST volumes **rose 1.0% in 2025 vs. 2024**, outperforming the declining Cass Freight Index, and held **flat YoY in Q1 2026 while the Cass Index fell 6.2%** ([10-Q](<https://www.sec.gov/Archives/edgar/data/1043277/000104327726000016/chrw-20260331.htm>)). This relative share gain is the tell.
- **Global Forwarding** — ocean and air, the cyclical drag. Ocean volumes fell **4.5%** and air tonnage **11.5%** in 2025; in Q1 2026 ocean shipments fell **10.5%** and air tonnage **15.0%** (against a tariff-pull-forward Q1 2025 comp).
- **Pricing engine** — in 2025, truckload linehaul rate to customers rose ~2.5% while cost per mile rose ~2.0%, a deliberate spread. In Q1 2026 the engine held the spread through a violent cost move: cost per mile **+13.0%**, customer rate **+11.0%**, yet adjusted gross profit per transaction in truckload and LTL still *improved*.
- **Cost reset** — average employee headcount fell **11.5% in FY2025** and **12.3% in Q1 2026 (to 11,705)**; this is the "Lean AI" labor-out story.
- Note: CHRW **divested its Europe Surface Transportation business on February 1, 2025**, which accounts for a meaningful chunk of the headline revenue decline and complicates clean YoY reads.

Financial Summary

All figures from CHRW SEC filings (dollars in thousands unless noted). Periods: FY2023 / FY2024 / FY2025 from the [10-K](<https://www.sec.gov/Archives/edgar/data/1043277/000104327726000009/chrw-20251231.htm>); Q1 2025 / Q1 2026 from the [10-Q](<https://www.sec.gov/Archives/edgar/data/1043277/000104327726000016/chrw-20260331.htm>).

Metric	FY2023	FY2024	FY2025	Q1 2025	Q1 2026
Total revenues	\$17,596,443	\$17,724,956	\$16,232,763	\$4,046,740	\$4,012,934
Revenue growth (YoY)	—	+0.7%	-8.4%	—	-0.8%
Adjusted gross profit margin	14.8%	15.6%	16.8%	16.6%	16.5%
Income from operations	\$514,607	\$669,141	\$794,961	\$176,853	\$175,686
Operating margin	2.9%	3.8%	4.9%	4.4%	4.4%
Adjusted operating margin	19.8%	24.2%	29.1%	26.3%	26.6%
Net income	—	—	\$587.1M ¹	\$135,302	\$147,233
Diluted EPS	—	—	\$4.83 ¹	\$1.11	\$1.22

¹ FY2025 net income \$587.1M (+26.1% YoY) and diluted EPS \$4.83 (+25.1%) per the 10-K selected operating items; FY2023/FY2024 net income and EPS not in the extracted excerpts and are therefore omitted rather than estimated.

Read: revenue is falling, but every profitability line is expanding. Operating income is up **+18.8% in 2025** on an 8.4% revenue decline. That divergence is the entire investment question — and it is exactly what a cyclical-only framework cannot produce.

Valuation

This is Meridian's own estimate, not company guidance. We anchor on normalized earnings power, not the trough cycle. FY2025 diluted EPS was \$4.83. We assume the freight cycle inflects modestly off two years of historically low routing-guide depth (1.2–1.5, where 1.0 is perfect; [10-Q](<https://www.sec.gov/Archives/edgar/data/1043277/000104327726000016/chrw-20260331.htm>)), and that the margin set holds. On a base-case normalized EPS of roughly **\$5.75–\$6.25** (our number: cycle recovery + retained cost-out, not a filing figure), a **21–23x** forward multiple — a premium to a pure cyclical broker, justified if the take-rate proves structural — implies a **\$125–\$140** target. The bear/cyclical framing would cap the multiple at ~15x trough EPS and argues the margin gives back. The gap between those two outcomes is wide enough that getting the take-rate question right is the whole trade.

Key Risks

Drawn from the 10-K Risk Factors and MD&A market commentary:

- **Cyclicality (the core bear case).** The 10-K states plainly that "the transportation industry historically has experienced cyclical fluctuations in financial results due to economic recessions." A large share of freight is transactional/spot, so a demand air-pocket hits volumes directly. If 2025's margin gains were cycle-driven, they reverse ([10-K Risk Factors](<https://www.sec.gov/Archives/edgar/data/1043277/000104327726000009/chrw-20251231.htm>)).
- **Margin compression from cost spikes.** Q1 2026 already showed cost per mile rising 13% vs. customer rate +11% — the engine absorbed it, but a faster cost move could compress the spread the thesis depends on.
- **Global Forwarding overhang.** Ocean/air remain in a "persistent imbalance" with excess vessel capacity; the 10-K expects ocean pricing "under pressure until global freight demand meaningfully improves." Continued ocean AGP-per-transaction erosion is an active drag (already cited as the main reason adjusted gross profit fell in both periods).

- **Technology / cybersecurity dependence.** The majority of operating systems are internally developed; the 10-K notes cyber incidents "have occurred in the past and may happen again," risking material outages — a direct hit to the digital-brokerage moat.
- **Tax / regulatory.** OECD Pillar Two 15% minimum tax adoption across jurisdictions could raise the effective rate (the favorable 11.7% Q1 2026 rate was partly stock-comp-driven and non-recurring).
- **Comparability noise.** The Feb 2025 Europe Surface Transportation divestiture distorts YoY revenue and cost comparisons, making the underlying organic trend harder to verify.

Open Diligence Questions

For the management / sell-side call. Numbers in brackets are the filing anchors we will hold the answer against.

- **[THIN BEAT]** Adjusted gross profit *per transaction* improved in truckload and LTL in both FY2025 and Q1 2026 even as cost per mile rose ~13% in Q1 ([10-Q](<https://www.sec.gov/Archives/edgar/data/1043277/000104327726000016/chrw-20260331.htm>)). **Can you disaggregate how much of the 16.8% FY2025 adjusted gross profit margin (vs. 15.6% in 2024) is structural — i.e., the dynamic pricing/Navisphere engine permanently widening the take-rate per shipment — versus cyclical spread that compresses when capacity normalizes?** A vague "it's a mix of both / market-driven" answer contradicts the specific 490 bps adjusted operating margin expansion the company attributes to its own pricing and costing discipline — and would gut the structural-re-rate thesis.
- NAST volumes outperformed Cass by ~6–7 points in Q1 2026 (flat vs. -6.2%). How much of that gap is durable share gain versus mix/customer concentration, and is it priced to last as the cycle turns?
- The pricing engine held a 2-point spread in 2025 (rate +2.5% vs. cost +2.0%) but only a ~2-point spread in Q1 2026 on far larger moves (+11% vs. +13%). At what rate-of-change in cost per mile does the spread invert?
- Headcount is down 12.3% YoY to 11,705. Is this the floor, or is there further "Lean AI" labor-out, and how much of the personnel-cost reset is permanent vs. cyclical hiring deferral?
- Sourcing revenue grew 13.7% in Q1 2026 but its adjusted gross profit margin fell 130 bps to 8.7%. Is Sourcing a structurally dilutive growth vector, and how should we weight it in normalized margin?
- Global Forwarding: with ocean AGP-per-transaction still falling on excess capacity, what is the trough, and is there a scenario where forwarding turns from drag to tailwind on a demand recovery?
- Interest/other expense net fell to \$9.0M in Q1 2026 from \$20.1M, partly on lower debt. What is the capital-allocation priority — buybacks, debt paydown, or reinvestment in the AI stack?
- The 11.7% Q1 2026 effective tax rate was flagged as partly stock-comp and non-recurring discrete items. What is the normalized go-forward tax rate we should model?